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China Exit or Co-Investment Opportunities for German PE Investors

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Agenda

- Introduction
- Macroeconomic backdrop
- Co-investments and Exits

L.E.K. Consulting is a leading global strategy consulting firm

Global Network

Overview

Founded in 1983, with a presence in Germany since 1988 and China since 1998

Assists senior executives to consistently make better decisions, deliver improved business performance and create greater shareholder returns

Areas of expertise include growth strategy, transaction support and value enhancement

We have advised German Mittelstands clients on development and exit in China in the context of growth strategy and succession

Our Chinese colleagues advise clients at multinational companies in and outside of China, Chinese companies, private equity firms, and government entities

Introduction

- This document summarizes results of a study conducted by L.E.K. Munich and Shanghai
- The goals of the study are to
  - Understand developments in Chinese equity investments in both the domestic China / pan-Asian market and cross-border investments between China and Germany / Europe
  - Identify trends in likely future investment behaviour and its drivers
  - Defining success factors both for Chinese and German investors / corporates as to how to benefit from the potential opportunities of cross-border investments and co-operation
- The study is based on
  - Discussions with 50 representatives of senior investment and corporate professionals in Shanghai, Beijing and Hong Kong
  - Project experience
  - Extensive secondary research

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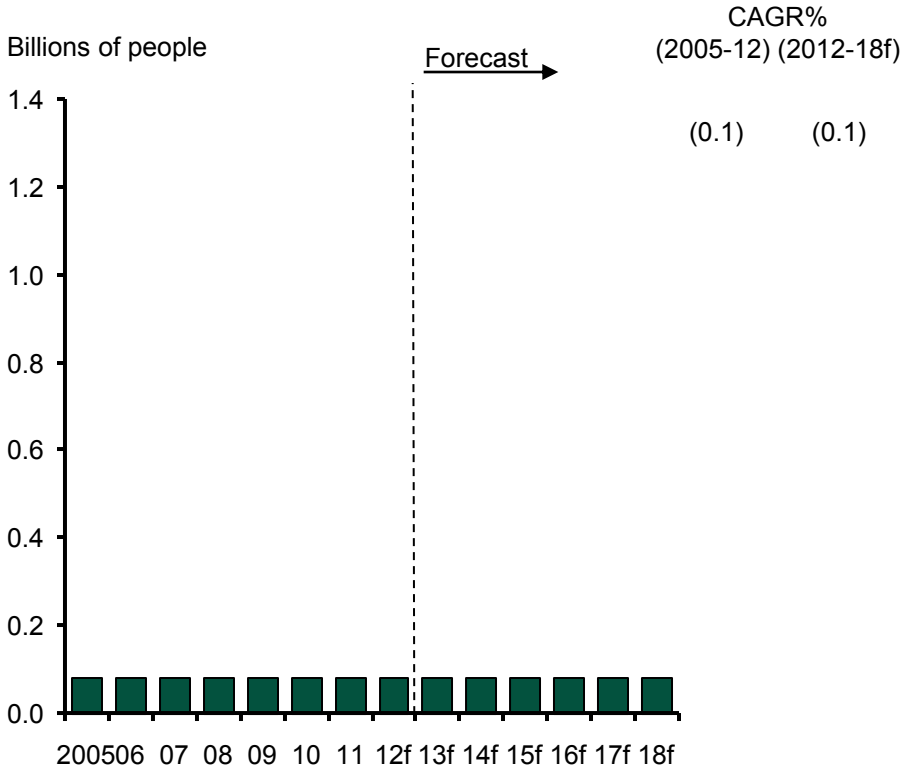
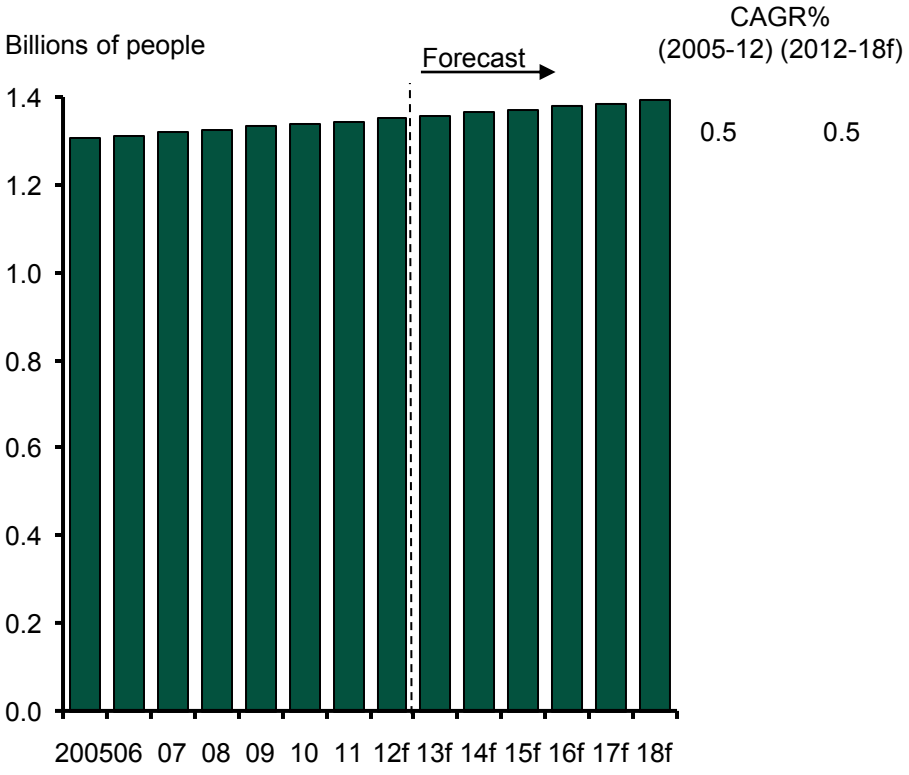
While Germany's population is expected to continue to decrease, China's population is forecast to continue to grow at 0.5% p.a.

Germany population (2005-2018f)



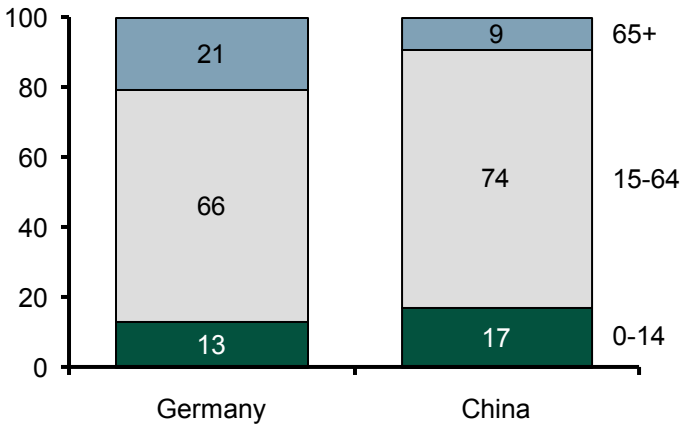
China's population (2005-2018f)



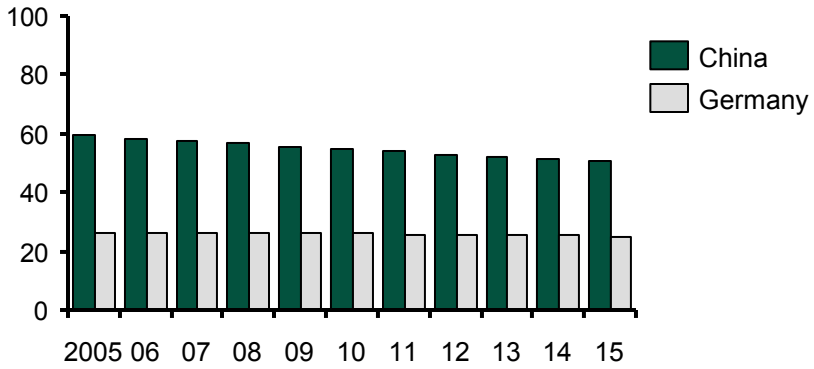
Source: IMF

The increasing urbanisation and prosperity of the Chinese population will create massive middle-class demand by 2020

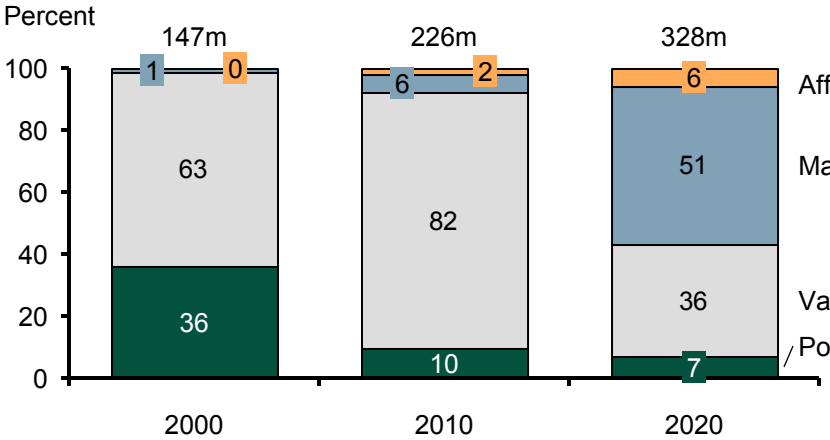
Age distribution (2012E)
Percent



Share of rural population (2005-15)
Percent



Share of urban households by annual household income in China*
Percent

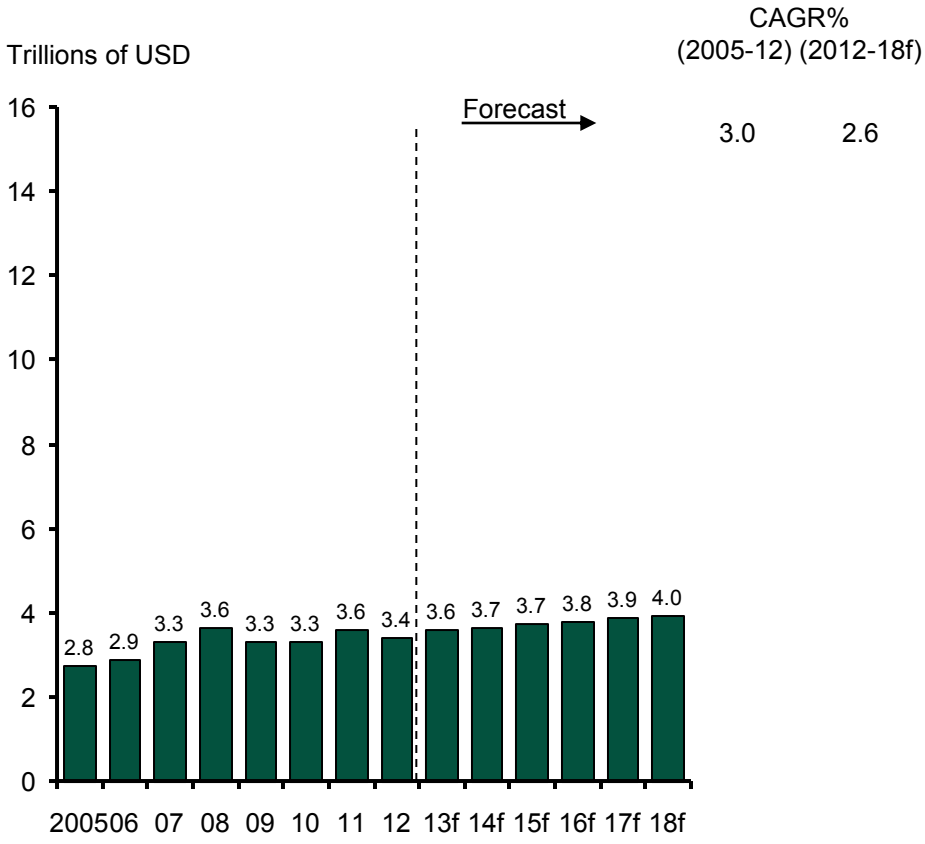


	ΔPPT (2005-10)	ΔPPT (2010-20)
Affluent (>USD34k)	2	4
Mainstream (USD16k-USD34k)	5	45
Value (USD6k-USD16k)	19	(46)
Poor (<USD6K)	(26)	(3)

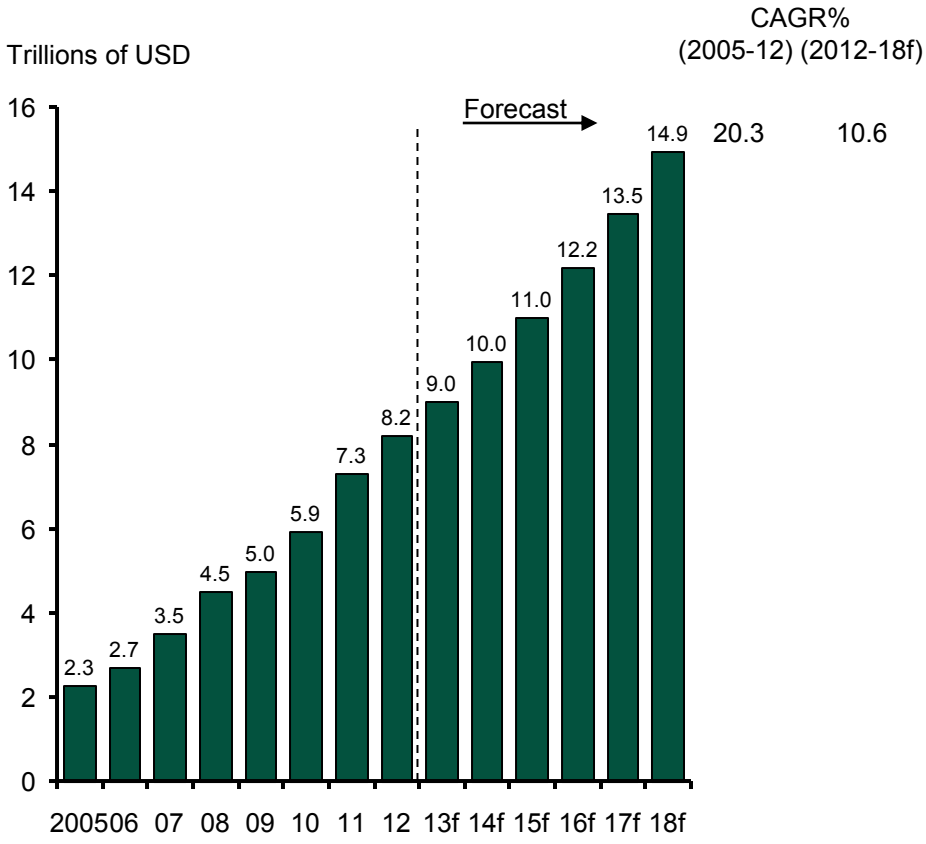
Note: * In real 2010 dollars; in 2010, USD1=RMB6.73
Source: IndexMundi; L.E.K. research and analysis

China's GDP only overtook Germany's in 2007 but is now more than double and expected to grow at c.10% until 2018

Germany nominal GDP (2005-2018f)



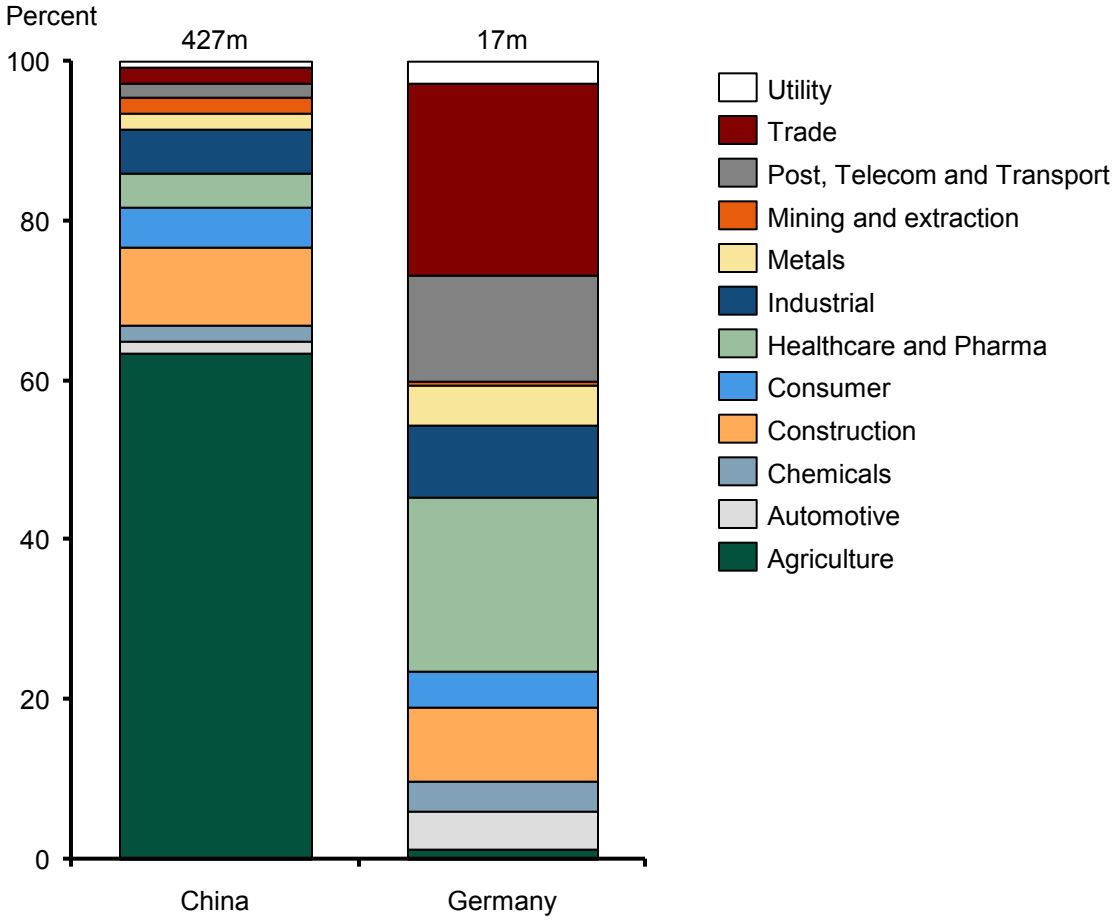
China nominal GDP (2005-2018f)



Source: IMF

China has a much larger working population however continues to be much less industrialised and service oriented…

Share of employees employed in selected industries 2010

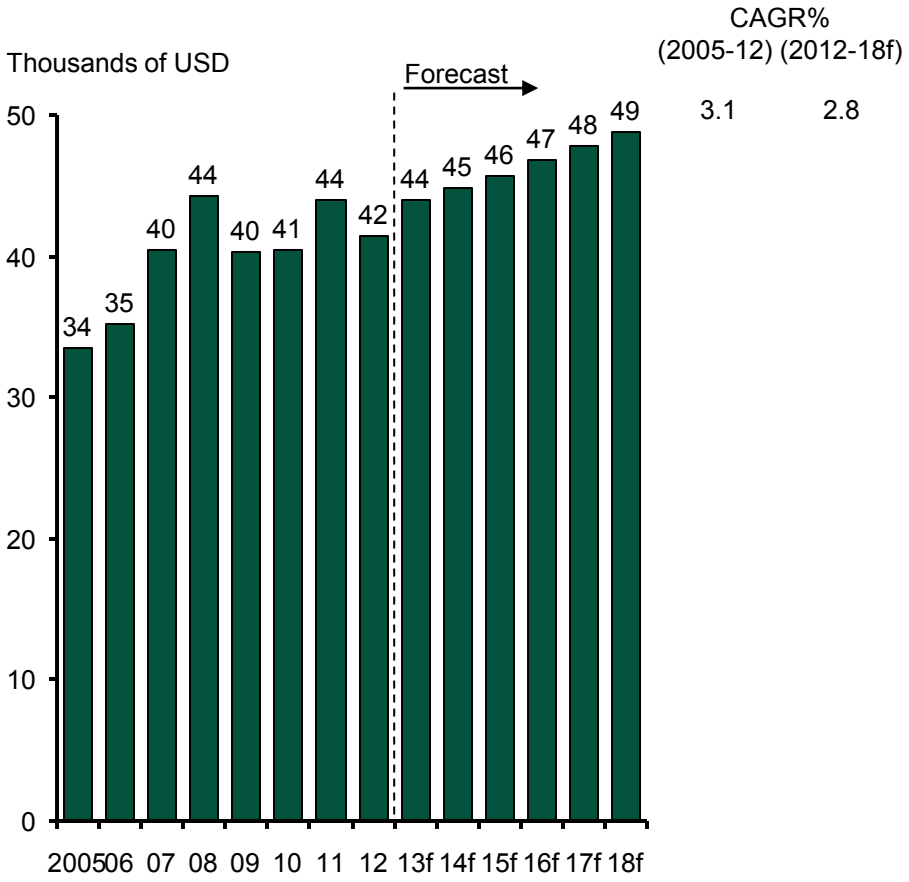


- The Chinese population in employment in 2010 amounted to 761m
  - about half of the population worked in the industries/ company categories under analysis
- The remainder worked among others in such industries/ company categories as
  - small producing enterprises (sales below c.€600k)
  - public administration, including defence
  - finance and insurance
  - education, science, technology and art

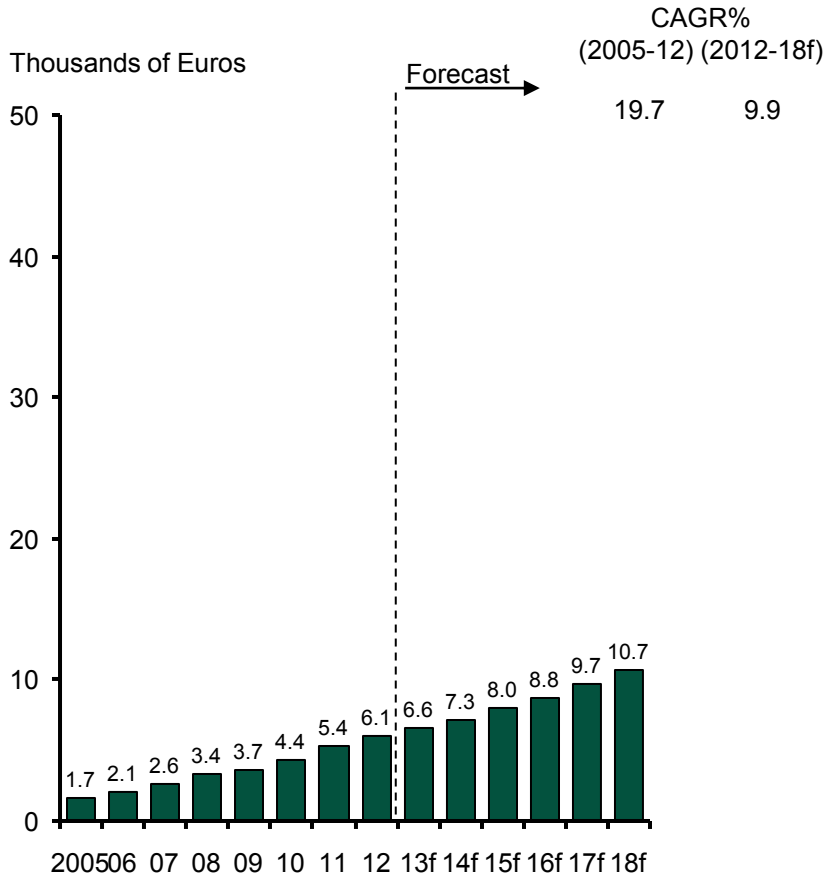
Source: L.E.K. research and analysis

... with per capita output continuing to be much lower than in Germany

Germany nominal GDP per capita (2005-2018f)



China nominal GDP per capita (2005-2018f)

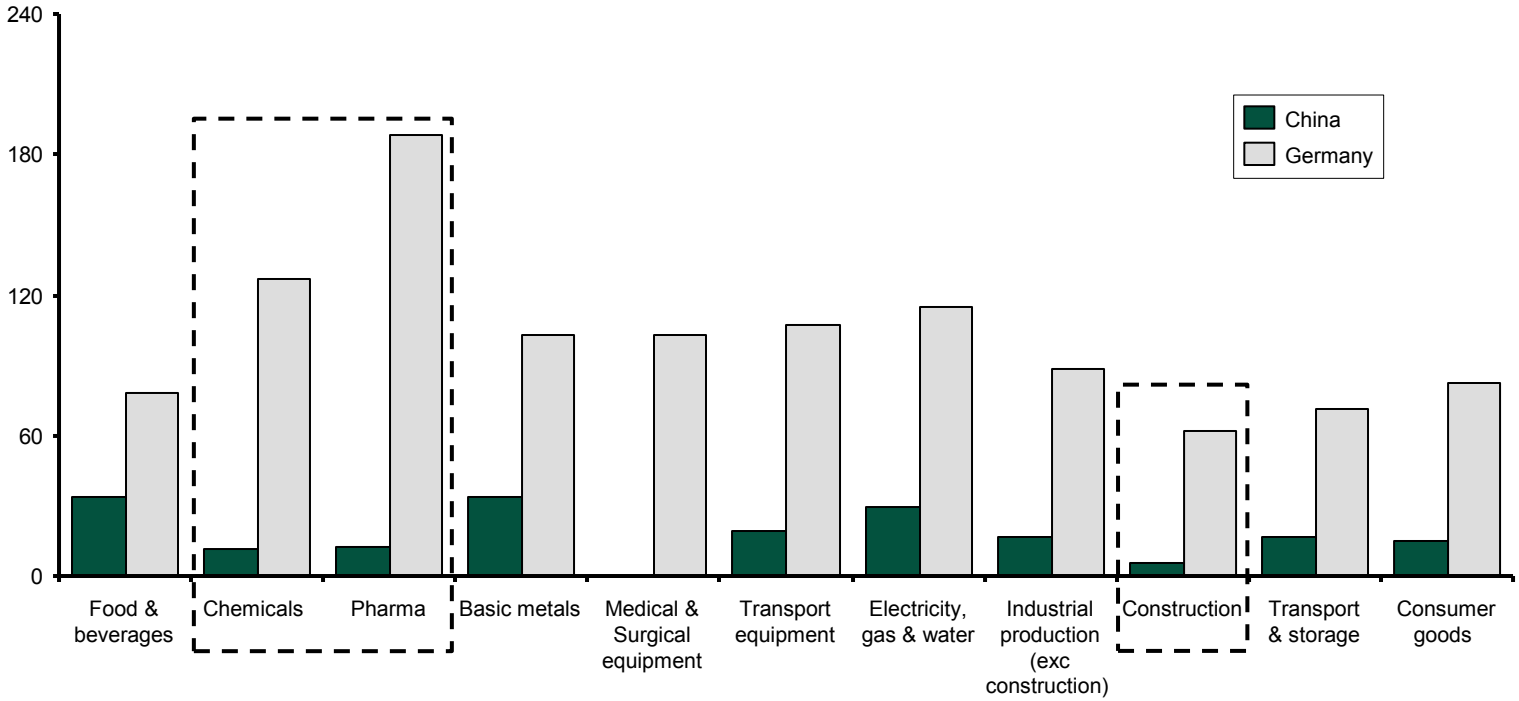


Source: IMF

An important driver of Chinese growth will be productivity improvements

Output per employee by industry 2010

Thousands USD per employee

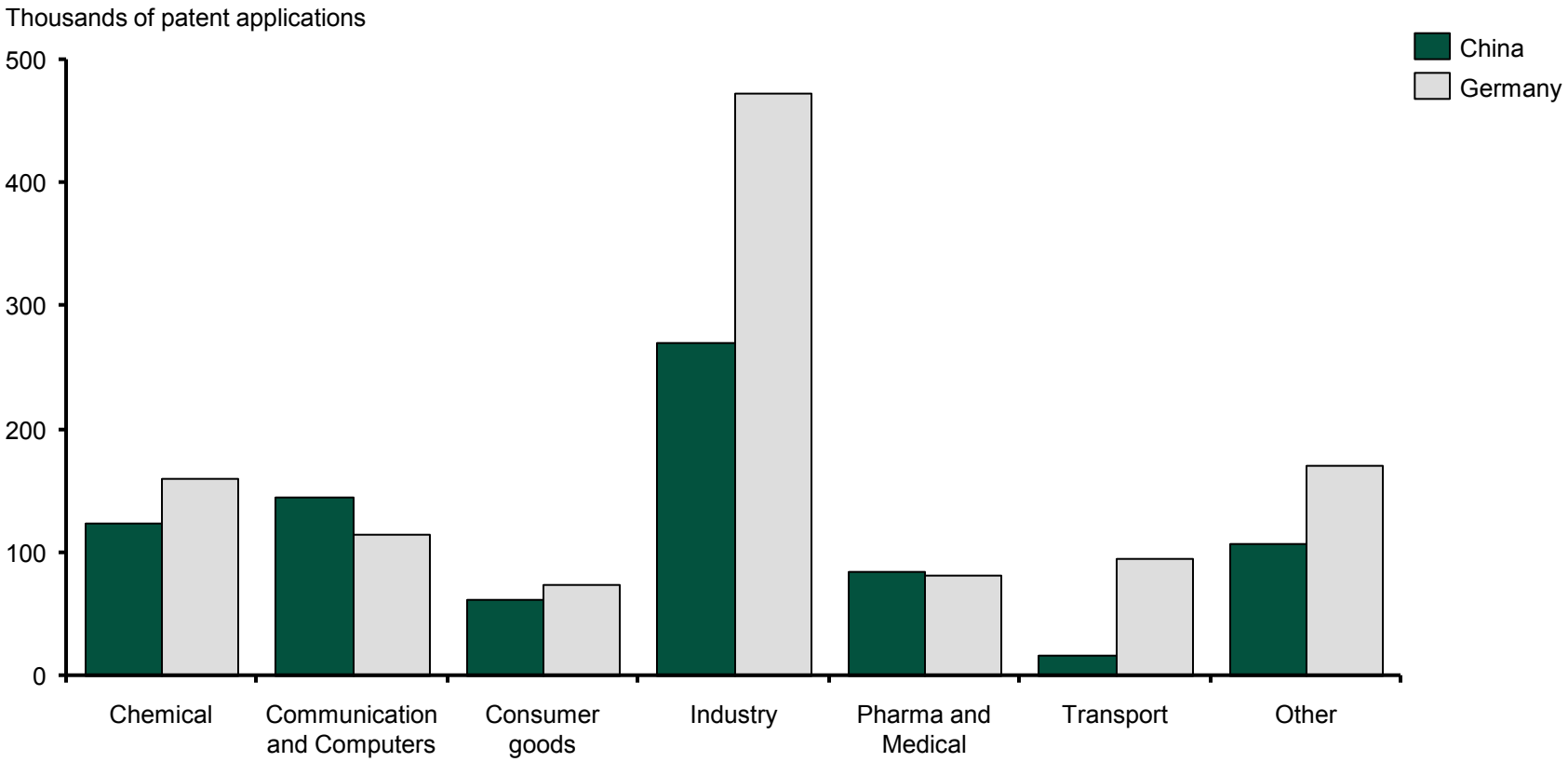


	Food & beverages	Chemicals	Pharma	Basic metals	Medical & Surgical equipment	Transport equipment	Electricity, gas & water	Industrial production (exc construction)	Construction	Transport & storage	Consumer goods
Output by industry in trillions USD											
China	103	110	23	183	1	117	102	1647	249	101	354
Germany	43	39	19	25	3	89	54	54	97	103	110

Source: L.E.K. research and analysis

Germany still maintains a technological edge while China is catching up in the number of patent applications (not all of which may qualify as true innovation)

Patent applications published by industry over 2000-2009



Source: L.E.K. research and analysis

Summary observations

- China continues to be an important market for German companies
  - Continued population growth
  - Attractive young demographic with lots of demands
  - Increasing urbanisation
  - Increasing per capita income and prosperity
  - Appetite for Western consumer brands and high tech products
- China is orienting towards the West
  - Still very much an agricultural society with relatively small but growing industrial and services sector
  - Improving productivity – but long way to go
  - Working on R&D and innovation – partial catch up but still major gaps

Combining China market demand with German market "supply" can be a powerful investment thesis

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While still focused on Asian investments, in particular Chinese PE firms have raised increasing fund sizes and are open to international investments

- US and European private equity funds have been investing in China for years and have dominated the market
- However, local funds are catching up in number (c.130 local funds), size (raising single digit billions by fund) and in competitiveness (international training, local knowledge and connections)
- The investment focus continues to be China or pan-Asia, however portfolio diversification and attractive investment opportunities in the West are driving initial cross-border investments
- Investments tend to be out-right acquisitions, usually led by large, often state-owned Chinese corporates;
  - However, co-investments with Western players or minority stakes in corporates with the goal of driving China market development for that company are common in PE
- The main deal rationales for such deals is the synergy value derived from
  - a valuable Western consumer proposition / brand
  - leading Western technology
  - Western market access
  - global competitive benefits from acquiring a leading Western player

Chinese private equity firms have reached large sizes and have become credible bidders in international auctions

Top-10 Private Equity companies headquartered in China and Hong Kong

	Name	Headquarters	Asset under management ($bn)	Focus of investments
1	CDH Investments	Beijing	8.0	Mainly China
2	Hony Capital	Beijing	7.1	Mainly China
3	PAG	Hong Kong	7.0	Mainly Asia
4	RRJ	Hong Kong	5.8	China ,South East Asia, some US and Europe
5	Baring PE Asia	Hong Kong	5.0	Mainly Asia
6	CITIC Capital	Beijing	4.6	Mostly China, Japan, US and Europe
7	Affinity Equity Partners	Hong Kong	4.0	Mainly Asia
8	Unitas	Hong Kong	4.0	Mainly Asia, some Europe
9	SAIF	Hong Kong	3.5	Mainly Asia
10	IDG Capital Partners	Hong Kong	2.5	Mainly China, some Europe

Source: L.E.K. research and analysis

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Several new focus industries selected by the China State Council for future development might represent an opportunity for Western PE when exiting

Old pillar industries	New strategic and emerging industries
National defense	Energy saving and environmental protection
Telecommunication	New energy (nuclear, solar, wind, and biomass)
Electricity	Clean energy vehicles (PHEVs and electric cars)
Oil	New materials (special and high performance composites)
Coal	High-end manufacturing
Marine shipping	Biotechnology
Airlines	Next generation information technology

- In September 2010, The State Council, China's cabinet, selected seven national strategic industries that it hopes will advance the nation's economic development and also better serve internal demand
- It is specifically targeting for China to become world leaders within the 12th 5 year plan
- Many industries directly contribute to China energy and environment goals

Source: Stake Council, NRDC, L.E.K. analysis

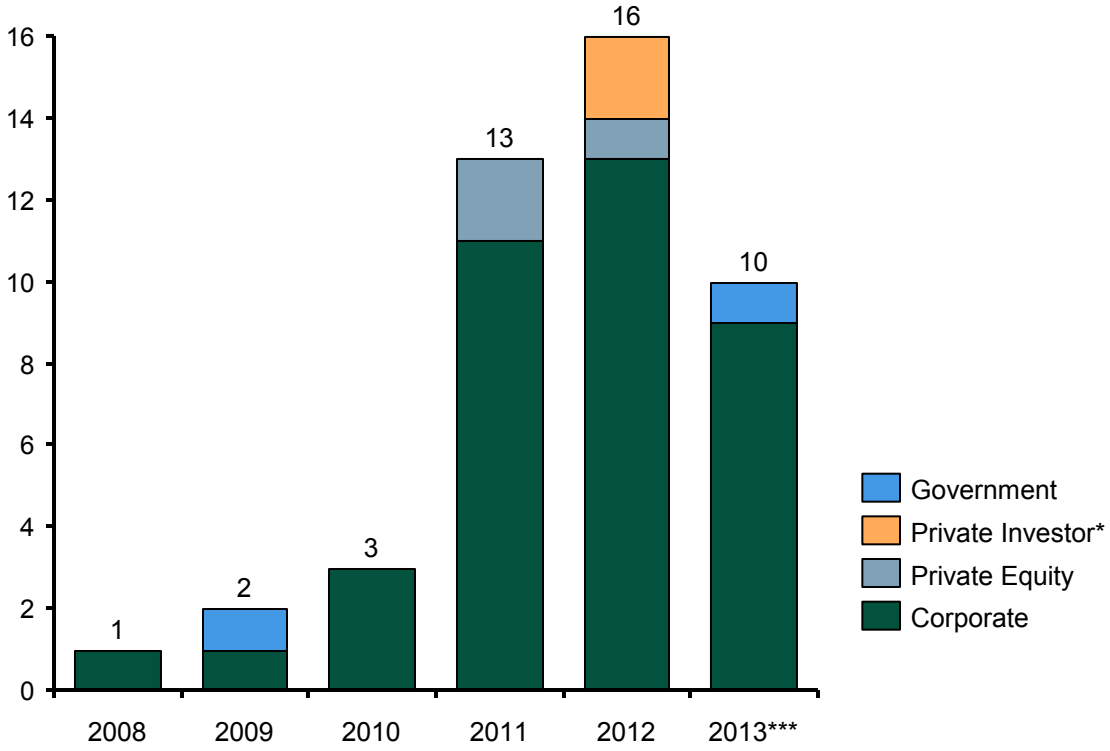
Only a couple of weeks ago, the 3rd plenary session of the CPC Central Committee is seen to further open up the Chinese economy

- The Third Plenum of each Central Committee is often the time for revealing massive changes in economic policy and the launching of political reforms
- There have been two particularly significant Third Plenums in the history of the People's Republic of China:
  - the 1978 Third Plenum of the 11th Central Committee, held two years after the death of Chairman Mao Zedong, ended the Cultural Revolution and launched the "reform and opening up of China" under Deng Xiaoping
  - and the 14th in 1993, held under Jiang Zemin, set the stage for China's transition to a socialist market economy and led to more aggressive economic reforms promoted by Zhu Rongji
- President Xi Jinping and Premier Li Keqiang have presented a series of new policies intended to boost the China market
- The eight key areas that the Plan especially addresses include:
  - cutting administrative approvals
  - promoting competition as well as free flow of international and domestic trade and investments
  - land reform
  - opening up banking including the liberalisation of interest rates and the exchange rate
  - reforming the fiscal system including setting up basic social security
  - reforming state-owned enterprises
  - promoting innovation including green technology
  - opening up the services sector
- Within these, the Plan has identified three major breakthrough sectors:
  - lower market barriers to attract investors and boost competition
  - setting up a basic social security package
  - allowing collectively-owned land to be traded

Cross-border deals with DACH targets funded by the Chinese are increasing; most are lead by Chinese corporates, often with an intransparent shareholder structure

Selected Chinese investments into DACH region by bidder type (2008-13)

Number of deals



- Chinese investment in Germany is driven by SOE*s and more recently by PE, and POE**
  - However, definitions can be blurred as corporates often are part-owned by government or have an intransparent shareholder structure
- Investments were largely made into automotive, industrial products companies: more known cases included
  - KSM, Preh, Sellner, ATB, Kiekert, FbZ Formenbau, Steyr Motors
  - Kion, Putzmeister, Flex, KSL Sondermaschinen, Oerlikon Textilmaschinenkomponenten
- Other sector targets include IT and RCG
  - Medion, Eterna
- The two government-backed deals were through aviation businesses acquiring Thielert and Fischer Advanced Composite Components

Note: * state owned enterprises; * privately owned enterprises; *** as of October 2013
Source: Mergermarket; L.E.K. research & analysis

Kion Group has attracted the largest direct Chinese company investment in Germany to date

- In August 2012, Weichai Power, a unit of China's Shandong Heavy Industry Group, completed a €738m investment in Kion, the German forklift truck maker
  - €467m to acquire a 25% stake in Kion directly, and a further €271m for a 70% stake in a Kion hydraulics subsidiary
- The deal was touted as a way for Kion to build more access to the Chinese market, c.25% of global demand for forklifts
- In June 2013, Weichai Power acquired another 5% ahead of the IPO at the end of June 2013
  - Financial and stock performance has steadily improved primarily driven by demand from emerging countries

Deal summary	
Target	Kion Group GmbH
Bidder	Weichai Power
Deal terms	€738m (25% stake)
Deal rationale	• Kion plans to grow in Asia through partnership with Weichai • Weichai gets access to Kion's expertise in high-end industrial trucks

Source: Financial Times; Mergermarket; company websites

In terms of exits to Chinese investors, Putzmeister has been the most sizeable transaction to date

Chairman of Sany Heavy Industry Liang Wengen and Putzmeister CEO Norbert Scheuch

- In January 2012, Putzmeister, a global manufacturer of construction machinery based in Germany, was acquired by Sany Heavy Industry, a China-based conglomerate
  - Sany Heavy Industry is owned by CITIC, a prominent Chinese fund
- The merger created one of the world's largest construction manufacturing companies

  "… The deal could herald a new era of Chinese deal making in Europe as Chinese companies look to "go global" and reduce their exposure to their domestic economy …"
  Financial Times, Jan 2012

Deal summary	
Target	Putzmeister
Bidder	Sany Heavy Industry
Deal terms	c.€324m (90% stake)
Deal rationale	• Sany resolves Putzmeister's succession issues and provides strong financial capital • Sany leverages the Putzmeister brand and engineering prowess as it seeks to create a global Chinese construction equipment brand

Source: Bloomberg; Financial Times; Mergermarket; company websites

Despite often high strategic premium price offers and compelling strategic logic of a deal, there are often material obstacles that need to be overcome

Challenges

- China corporates and investors still primarily focused on China and pan-Asia
  - lower levels of comfort and confidence in European deal environment
- Rationale for China strategic premium not obvious leading to distrust from sellers as to how real the bids are
- Deal approval risk
- Political risk
- Doubts regarding access of bidder to finance and confirmation of financing terms
- Concern about capability of bidder to manage global operations and retain core assets (Minority shareholders, Management, staff, Brand)

Mitigating Factors

- Intermediation and mutual education / communication
- Clearer communication of key investment hypotheses and involvement of target management / shareholder in evaluation thereof
- Expectations management on both sides
- Early review and communication of potential issues
- In the short-term, focus on strategic cooperation with little operational overlap; medium- to long-term operational collaboration in areas where it makes sense

Summary observations

- China investors, both corporate and financial, will increasingly be looking at investment opportunities beyond the domestic markets

- Of particular interest for Chinese investors are companies that
  - Are related to China focus industries
  - Bring a European brand to the Chinese consumer
  - Help develop Chinese corporates in their globalisation by bringing valuable technology and / or brand to the table

- Of particular interest for Western / German investors are
  - Flexible strategic equity investment (minority / co-investment as well as lead investments) in companies which are less interesting for European PE or strategies
  - China market access
  - Strategic partnership to defend and build global market position

- There are material challenges as with many cross-border deals, however these are often really deal-dependent and over time they are on average likely to become less of an issue

Keep Chinese investors on the radar for both co-investment and exit strategies

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